

FCOR 510: Conflict Styles Negotiation and Reflection

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The Case of Lake Okanagan Resort

Lake Okanagan Resort, located outside the boundaries of the city of West Kelowna, was heavily burned in August 2023, destroying resort-owned and managed properties and the homes of year-round residents. The fire's destruction marks a catastrophe for dozens of homeowners as well as resort parent company, DHI Holdings Inc. In BC, in order to secure building permits, there must first be established utilities to the property of interest. However, with the resort as the legal body in charge of utility construction and maintenance, homeowners cannot get the permits to rebuild unless the resort rebuilds. As recent as April 2025, the resort has made no actions to do so, leaving homeowners in a state of jeopardy. Individuals and the strata have lobbied local and provincial government to hold the resort accountable as the utility owner. At this point authorities maintain that they have no authority to require the resort to rebuild, nor to require its transfer of utility ownership (Strachan, 2025).

Stakeholder Analysis

For the homeowners, represented by themselves and their strata organization, assurance of the value of their owned property and/or the support to rebuild is desired. As expressed by Maria Hart and Heather Ormiston, these homeowners view the resort as not fulfilling their responsibility to provide utilities as they had in the past. With the lack of transparency between the resort and homeowners, they see the government as the responsible body that should intervene to either make the resort restore utilities or transfer ownership of the utility systems to the strata.

The government, however, maintains that it has no responsibility to intervene in what is as legal activity on the part of the resort. If it does take action on the behalf of either party, it could be setting a precedent of providing funds or intervening in a way which extends governmental affairs beyond its present realm, however, dissatisfaction from its constituents spells trouble.

Finally, the resort and its parent company as for-profit corporations are seeking to maximize profit by minimizing costs. Without a functioning resort, the input costs of restoring utilities for the sake of the homeowners does not make financial sense. Additionally, the resort is operating legally as it maintains its owned property and utility contract and does not consider itself responsible for the homeowners within its condominiums.

Points of reconciliation between the three parties include that utilities are a source of income for the resort and it would facilitate both the reconstruction of private residences and the resort to restore utilities. Alternatively, if the resort aims to pull out of business, selling utility rights to the strata is a source of income, and the strata could use governmental support to pay for those rights.

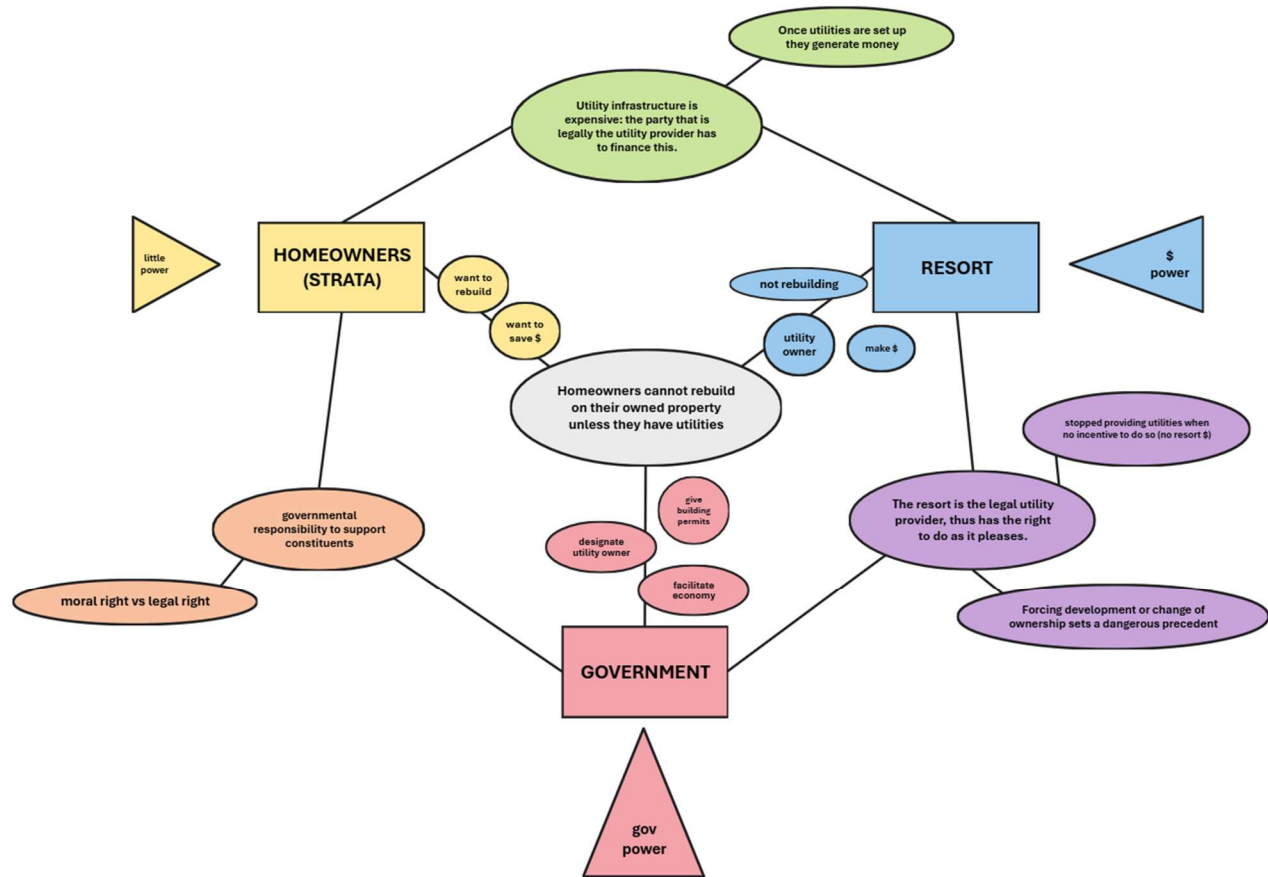


Figure 1

Web of interests of stakeholders in the Lake Okanagan Resort conflict.

Conflict and Negotiation Styles

In the current status quo, leveraging their relative power, both the government and resort are employing an avoiding or withdrawing conflict style whereas the homeowners have used labelling and attacking conflict styles. This status quo encourages continued ignorance of the conflict through government and resort masking rather than enter into negotiations in good faith.

As the situation stands, the resort is using its financial power and legal standing to refuse to engage with the homeowners. Thus, homeowners have been pursuing a power-based negotiation, where the government intervenes to require the resort to make a favorable settlement for the homeowners. However, this negotiation style does not facilitate continued relationship between the parties. Adjusting from an adversarial negotiation style to a principled negotiation will facilitate collaborative efforts and a win-win outcome.

Negotiation Strategy Recommendations

I propose that the government, homeowners, and resort enter into a multiparty negotiation. On the negotiation table, the governmental, financial, and consumer power of the parties can be leveraged to generate a solution wherein utilities are rebuilt and homeowners can gain building permits. Entering negotiations with an emphasis on shared financial interests refocuses the discussion from the muddier territory of the role of government and corporations in relation to citizens and instead towards facilitating the economic prosperity of all parties.

Rebuilding utilities of the Okanagan Lake Resort is the first step to restoring the region's economic activities. A barrier for both homeowners and the resort is the financial cost of rebuilding, something the government also wants to reduce. A tri-party financial burden, weighted by the relative financial status of the three parties could be a favorable solution to garnering the funds to rebuild. Once surety of its rebuilding is established, ownership over the utility permit can be negotiated in line with the parties' occupation of the area. Finally, a rebuilding schedule and long-term utility management plan can be developed for the region.

By emphasizing the financial interests of all parties, this phased multiparty negotiation paves the way for a clear long-term outcome for all.

References

Strachan, B. (2025, April 24). Nearly 2 years after B.C. wildfire, Lake Okanagan Resort condo owners still can't rebuild. CBC News, <https://www.cbc.ca/news/canada/british-columbia/lake-okanagan-resort-rebuild-1.7514640>.